(a) Simple average profit method

Under this method, goodwill is calculated by multiplying the average profits by a certain number of years of purchase. Simple average profit is calculated by adding the adjusted profits of certain number of years by dividing the total number of such years.

Goodwill = Average profit × Number of years of purchase

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

Illustration 1

The following are the profits of a firm in the last five years:

2014: ₹ 4,000; 2015: ₹ 3,000; 2016: ₹ 5,000; 2017: ₹ 4,500 and 2018: ₹ 3,500

Calculate the value of goodwill at 3 years purchase of average profits of five years.

Solution

Goodwill = Average profit × Number of years of purchase

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

$$= \frac{4,000 + 3,000 + 5,000 + 4,500 + 3,500}{5}$$

$$= \frac{20,000}{5} = ₹\ 4,000$$

Goodwill = Average profit × Number of years of purchase

= 4,000 × 3 = ₹ 12,000

Illustration 2

The profits and losses of a firm for the last four years were as follows:

2015: ₹ 15,000; 2016: ₹ 17,000; 2017: ₹ 6,000 (Loss); 2018: ₹ 14,000

You are required to calculate the amount of goodwill on the basis of 5 years purchase of average profits of the last 4 years.

Solution

Goodwill = Average profit × Number of years of purchase

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

$$\text{Average profit} = \frac{15,000 + 17,000 - 6,000 + 14,000}{4}$$

$$= \frac{40,000}{4} = ₹\ 10,000$$

Goodwill = Average profit × Number of years of purchase

= 10,000 × 5 = ₹ 50,000

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